

THE ARMY MILITARY-CIVILIAN COST SYSTEM (AMCOS) CONTRACTOR COST ESTIMATE (CCE) MODULE METHODOLOGY



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About National, State, Metropolitan, and Nonmetropolitan Area Occupational Employment and Wage Statistics (OEWS).

The **National, State, Metropolitan, and Nonmetropolitan Area** Occupational Employment and Wage Statistics are calculated from data collected in a National survey of employers. Data on occupational employment and wages are collected from employers of every size, in every state, in metropolitan and nonmetropolitan areas, in all industry sectors. These estimates are cross-industry estimates; each occupation's employment and wage estimates are calculated from data collected from employers in all industry sectors. Self-employed persons are not included in the survey or estimates. See the AMCOS release history for information on the as of date for OEWS data. OEWS estimates are based on the **Standard Occupational Classification (SOC) system**.

The National, State, Metropolitan, and Nonmetropolitan Area Occupational Employment and Wage Estimates consist of the following:

- **SOC Code Number:** The Standard Occupational Classification (SOC) system's unique, six-digit (plus hyphen) numerical identifier for each occupation. When the SOC code is a link, clicking on it leads to a page that contains the occupational definition and National cross-industry estimates.
- **Occupation Title:** A descriptive title that corresponds to the SOC code.
- **Group:** The level of occupational detail (major group, minor group, broad level, detailed).
- **Employment:** The estimated total occupational employment (not including self-employed).
- **Employment RSE:** The Relative Standard Error of the employment estimate, a measure of the reliability or precision of the employment estimate. The relative standard error is defined as the ratio of the standard error to the survey estimate. For example, a relative standard error of 10 percent implies that the standard error is one-tenth as large as the survey estimate.
- **Employment per 1000 jobs:** The number of jobs (employment) in the given occupation per 1,000 jobs in the given area.
- **Location Quotient:** (State, metropolitan, and nonmetropolitan statistical area estimates only.) The ratio of an occupation's share of employment in a given area to that occupation's share of employment in the U.S. as a whole. For example, an occupation that makes up 10 percent of employment in a specific metropolitan area compared with 2 percent of U.S. employment would have a location quotient of 5 for the area in question.
- **Mean Annual Wage:** The estimated total annual wages of an occupation divided by its estimated employment, i.e., the average annual wage.
- **Mean RSE:** The Relative Standard Error of the mean wage estimates, a measure of the reliability or precision of the mean wage estimates. The relative standard error is defined as the ratio of the standard error to the survey estimate. For example, a relative standard error of 10 percent implies that the standard error is one-tenth as large as the survey estimate.
- **Percentile Wage Estimates:** (National estimates only) A percentile wage estimate shows what percentage of workers in an occupation earns less than a given wage and what percentage earn more. For example, a 25th percentile wage of \$15.00 indicates that 25 percent of workers (in a given occupation in a given area) earn less than \$15.00; therefore, 75 percent of workers earn more than \$15.00.

ANNUAL HOURS & HOURLY SALARY

BLS data includes annual and hourly salaries, which allows users to derive annual hours by dividing annual salary by hourly salary rates. Using the latest BLS data, the annual number of hours' calculation result is 2080 hours. With that said, you can convert AMCOS' Contractor Cost Element totals (annual) to an hourly amount. Please note two things:

1. AMCOS uses the OPM annual salary / hourly rates to derive a total number of hours. Because these hours vary by grade and step, we take an overall average, which amounts to about 2,087 hours.

Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8	Step 9	Step 10
1	2087.927	2086.57	2086.887	2086.796	2087.088	2087.488	2087.027	2087.117	2087.566	2087.788
2	2086.8	2086.92	2086.703	2087.566	2087.273	2087.216	2087.163	2087.112	2087.064	2087.019
3	2086.684	2087.195	2087.673	2086.472	2086.943	2087.388	2086.294	2086.733	2087.148	2087.542
4	2086.434	2086.422	2086.41	2086.399	2086.389	2086.379	2086.37	2086.361	2087.63	2087.589
5	2086.833	2086.989	2087.135	2087.272	2087.401	2087.522	2086.432	2086.573	2086.707	2086.834
6	2087.5	2087.004	2086.538	2087.281	2086.835	2087.527	2087.098	2086.694	2087.334	2086.944
7	2087.353	2086.844	2087.461	2086.979	2086.525	2087.098	2086.667	2087.205	2086.793	2087.301
8	2087.418	2087.384	2087.352	2087.322	2087.294	2087.267	2087.242	2087.218	2087.196	2087.175
9	2087.237	2087.118	2087.007	2086.902	2086.804	2086.711	2086.623	2087.315	2087.216	2087.122
10	2086.628	2086.857	2087.072	2087.273	2086.698	2086.899	2087.089	2087.268	2086.754	2086.933
11	2087.108	2087.23	2087.345	2086.735	2086.858	2086.973	2087.083	2087.186	2087.284	2086.769
12	2087.287	2087.088	2086.901	2086.726	2087.142	2086.969	2086.807	2087.187	2087.027	2086.875
13	2087.029	2086.858	2087.217	2087.051	2086.894	2087.221	2087.069	2086.925	2086.788	2087.084
14	2087.026	2086.794	2087.016	2086.799	2087.007	2086.803	2087	2087.186	2086.993	2087.17
15	2087.137	2087.018	2086.905	2087.162	2087.052	2086.948	2086.85	2087.08	2086.984	2086.893

2. Contractors will have a profit amount included in their hourly/annual rates which AMCOS does not attempt to estimate, so if you are looking to calculate an estimated Fully Burdened Rate (FBR), you will want to include a profit estimate.

BENEFITS

Benefit data for the Contractor Cost Estimate includes the following Private Industry Benefits described in Table 1.

- Paid Leave
- Supplemental Pay
- Insurance
- Retirement and Savings
- Legally Required Benefits

Table 1 shows an example of the relative importance of employer costs for employee compensation. Source: <https://www.bls.gov/news.release/ecec.nr0.htm>. BLS news releases, including the ECEC, are available through an e-mail subscription service at www.bls.gov/bls/list.htm.

Compensation component	Civilian workers ¹		Private industry workers		State and local government workers	
	Cost (\$)	Percent of compensation	Cost (\$)	Percent of compensation	Cost (\$)	Percent of compensation
Total compensation ²	42.48	100.0	40.23	100.0	57.60	100.0
Wages and salaries.....	29.32	69.0	28.37	70.5	35.89	62.0
Total benefits.....	13.17	31.0	11.86	29.5	21.91	38.0
Paid leave.....	3.17	7.5	3.01	7.5	4.23	7.3
Vacation.....	1.55	3.6	1.54	3.8	1.58	2.7
Holiday.....	0.94	2.2	0.89	2.2	1.21	2.1
Sick.....	0.50	1.2	0.41	1.0	1.09	1.9
Personal.....	0.18	0.4	0.16	0.4	0.34	0.6
Supplemental pay.....	1.37	3.2	1.49	3.7	0.56	1.0
Overtime and premium ³	0.37	0.9	0.39	1.0	0.25	0.4
Shift differentials.....	0.07	0.2	0.07	0.2	0.05	0.1
Nonproduction bonuses.....	0.93	2.2	1.03	2.6	0.26	0.5
Insurance.....	3.45	8.1	3.00	7.4	6.52	11.3
Life.....	0.05	0.1	0.04	0.1	0.08	0.1
Health.....	3.28	7.7	2.82	7.0	6.36	11.0
Short-term disability.....	0.08	0.2	0.09	0.2	0.03	0.1
Long-term disability.....	0.05	0.1	0.05	0.1	0.05	0.1
Retirement and savings.....	2.16	5.1	1.36	3.4	7.48	13.0
Defined benefit.....	1.26	3.0	0.41	1.0	6.98	12.1
Defined contribution.....	0.89	2.1	0.95	2.4	0.51	0.9
Legally Required benefits.....	3.02	7.1	3.01	7.5	3.12	5.4
Social Security and Medicare.....	2.39	5.6	2.39	5.9	2.45	4.3
Social Security.....	1.91	4.5	1.91	4.8	1.87	3.2
Medicare.....	0.49	1.1	0.47	1.2	0.59	1.0
Federal unemployment insurance.....	0.03	0.1	0.03	0.1	— ⁴	— ⁴
State unemployment insurance.....	0.14	0.3	0.15	0.4	0.07	0.1
Workers' compensation.....	0.46	1.1	0.45	1.1	0.59	1.0

Table 1: Relative Costs for Employee Compensation Summary

OVERHEAD

Overhead Percentage is based on expenses, which consist of a percentage a company incurs. The term used is Selling General and Administrative Expenses (SGA), e.g., Accounting staff wages and Benefits, Building Rent, Consulting Expenses, Insurance, Office Supplies, Utilities, Computers, Reproduction, Phones, Travel, and other costs.